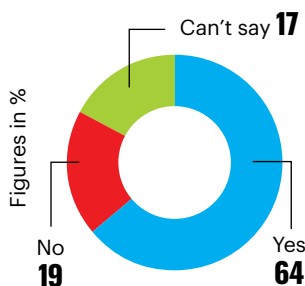
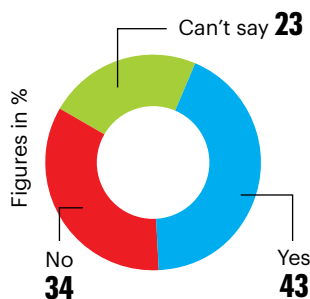


## WHAT BUSINESSES SAY

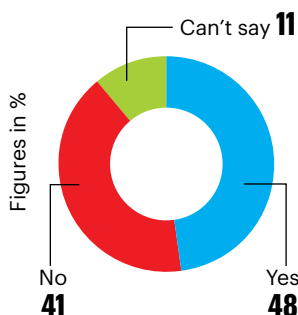
### DO YOU EXPECT BETTER DEMAND IN FESTIVE SEASON?



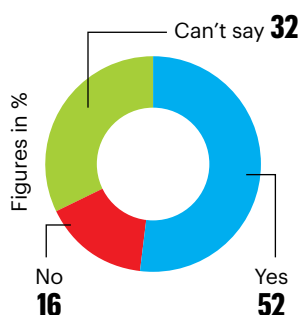
### ARE YOU PLANNING TO HIRE MORE TO MEET THE RUSH?



### HAS THE LOWER CORE INFLATION HELPED?

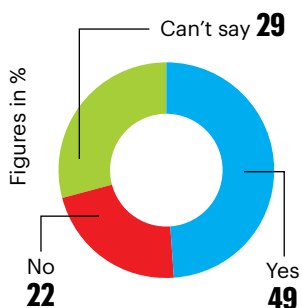


### ARE YOU MORE CONFIDENT ABOUT ECONOMIC GROWTH?

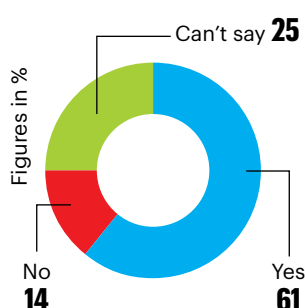


## IMPACT OF ISRAEL-HAMAS WAR

### WILL THE CONFLICT IMPACT YOUR BUSINESS IN ANY WAY?



### WILL IT LEAD TO HIGHER INFLATION IN Q3?



**SOURCE** THE BT-C FORE BUSINESS CONFIDENCE SURVEY WAS CONDUCTED BETWEEN SEPTEMBER 30 AND OCTOBER 11, 2023, OF 500 CEOs AND CFOs REPRESENTING VARIOUS INDUSTRIES AND COMPANY SIZES IN 12 CITIES—DELHI, MUMBAI, CHENNAI, HYDERABAD, BENGALURU, KOLKATA, CHANDIGARH, LUCKNOW, NAGPUR, KOCHI, VISAKHAPATNAM AND BHUBANESWAR

In fact, the Q2FY24 reading is the second highest since Q2FY15, when the BCI was at 55.4. Since then, the reading had dipped progressively and remained below 50 in most quarters, up to the end of calendar year 2021.

A striking aspect of the latest survey is that micro businesses have also moved to a reading above 50 after a full year to log a score of 50.1 in terms of business confidence. The previous instance when it had moved above 50 was in Q2FY22, when it was 50.2.

Economists believe that businesses are more confident and that certain sectors are faring better than the others. Rajani Sinha, Chief Economist of credit rating agency CareEdge, notes that the business environment is positive except for the fact that capital expenditure (capex) has not picked up fully at the ground level and much of the heavy lifting on this front is still being done by the central government. "Companies in sectors such as steel and cement are gung-ho as they are benefitting from the government's focus on capex. Companies in other sectors such as textiles and chemicals that have a higher dependence on external demand remain cautious," she says. At present, the agency has retained its GDP growth forecast of 6.5 per cent for this fiscal. "India is doing reasonably well," she says.

D.K. Joshi, Chief Economist of rating agency CRISIL, highlights the rising capacity utilisation. "Economic growth in the first quarter was strong and growth in the second quarter is likely to slow down somewhat. However, there are some signs of resilience, visible in investment activity, which is primarily led by the government." The Purchasing Managers Index (PMI)—a gauge of economic trends for both manufacturing and services—has registered strong expansion, while tax collections have been healthy. "Despite high inflation in the second quarter, which impacted discretionary spending, and weak exports, the economy has been doing well," says Joshi.

In fact, the BCI reveals that 52 per cent of businesses are upbeat about a sustained economic recovery going forward. And now, with the festive months in full swing, firms remain confident about profits, hiring and demand in Q3FY24, compared with the previous fiscal, with the indices logging a score of 5.4, 5.3 and 5.6, respectively.

About 64 per cent of businesses expect improved demand this festive season, while 43 per cent are planning to hire more people to meet the rush. A silver lining has been lower core inflation, which has helped improve margins for